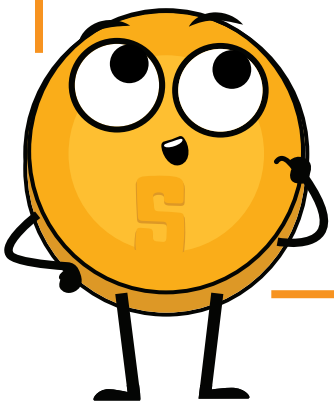
The Power of Money

Not all money is the same!



Commodity Money

Objects like this gun powder once served as commodity money.

Representative Money

Representative Money like this silver certificate could be exchanged for silver.

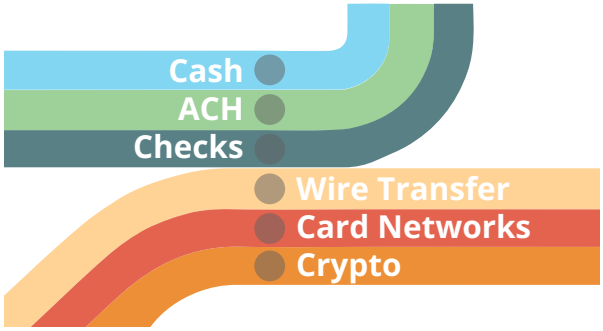
Fiat Money

Today, Federal Reserve notes are fiat money, decreed by the federal government to be an acceptable way to pay debts.

Commodities (or commodity money) are often considered to be "**fungible**" and have a consistent quality. For example, one barrel of oil is generally considered to be the same as any other barrel of oil, regardless of where it comes from or who produced it.

Payment rails are like digital highways that help electronic currencies move from one place to another online. They make it easier, faster, and safer to pay for things online, whether you're using a cryptocurrency like ***Bitcoin*** or a traditional payment method, like a credit card.

Electronic currencies are a type of money that can be used for online transactions. They are like digital versions of regular money, like dollars or euros, and can be used to buy and sell things online via **payment rails**.



Central Bank Digital Currencies (CBDCs): These are digital versions of a country's fiat currency, which are issued and backed by the central bank, and therefore intermediated by the government. This means government is the middleman in the exchange.